



Question 10

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question

What is meant by
the term "True and
Fair View"?

Select one:

- ☐ a. The financial statements are free from material misstatement
- ☐ b. The company has followed all ethical codes
- ☐ c. All assets are equally distributed
- ☐ d. The business does not hide taxes

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Which statement about risk and return is false?

Select one:

- ☐ a. Diversification eliminates systematic risk.
- ☐ b. Higher risk typically demands higher expected return.
- ☐ c. Beta measures a stock's sensitivity to market movements.
- ☐ d. Treasury bills are considered risk-free assets.

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How are profits and losses typically shared among partners in a partnership?

Select one:

- ☐ a. According to the seniority of the partners
- ☐ b. Based on the number of employees each partner contributes
- ☒ c. Equally among all partners
- ☐ d. Based on the initial capital contribution ratio

[Clear my choice](#)

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Question 7

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If a firm projects a 20% increase in sales and its spontaneous liabilities increase by 30,000, how much additional external financing is needed (assuming no profit retention)?

Select one:

- ☐ a. 42,000
☐ b. 48,000
☐ c. 36,000
☐ d. 30,000

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Question 11

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Which of the
following best
describes real-time
processing in an
Accounting
Information
System?

Select one:

- ☐ a. Financial statements are prepared annually.
- ☐ b. Transactions are batched and processed at the end of the day.
- ☐ c. Transactions are recorded and processed immediately as they occur.
- ☐ d. Data is manually entered once a month.

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Question 2

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Which of the following is used for computing contribution margin?

Select one:

- ☐ a. total revenue – total variable costs.
- ☐ b. operating income + total variable costs.
- ☐ c. total revenue – total manufacturing costs
- ☐ d. total revenue – total fixed costs.

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Question 14

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What should an auditor do if they discover fraud that materially affects the financial statements?

Select one:

- ☐ a. Inform shareholders directly
- ☐ b. Ignore it if it benefits the client
- ☐ c. Report it to management and consider the effect on the audit report
- ☐ d. Destroy the working papers to avoid liability

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Question 3

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Changes in tax laws
or tax rates:

Select one:

- ☐ a. Require adjustment of existing deferred tax assets and liabilities.
- ☐ b. Have no impact on financial statements.
- ☐ c. Only affect current tax expense.
- ☐ d. Are only disclosed in the footnotes.

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One of the following statements is true about the financial market.

Select one:

- ☐ a. Equity instruments are traded on the money market
- ☐ b. All equity instruments are traded on the capital market
- ☐ c. All debt instruments are traded on the bond market
- ☐ d. All debt markets are traded on the capital market

Assume ZM Company began the merchandising business on June 1, with 10 units of inventory that cost a total of \$700. During the month the business purchases and sales provided as follows:

Date	Units	Unit cost
June 8, purchase	80	\$70
June 14, sale	25	
June 27, purchase	30	\$77
June 27, sale	90	

Under FIFO, the cost of ending inventory and cost of goods sold respectively was:

Select one:

- ☐ A. \$110 and \$1,130.
- ☐ B. \$125 and \$1,120.
- ☐ C. \$105.72 and \$1,134.28.
- ☐ D. \$112.34 and \$1,208.66.

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Question 16

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The flexible budget
contains:

Select one:

- ☐ a. budgeted
amounts for
planned output.
- ☐ b. actual costs
for planned
output.
- ☐ c. actual costs
for actual output.
- ☐ d. budgeted
amounts for
actual output.

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**Question 19**Not yet
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Entity A (functional currency: USD) has a subsidiary in Japan (functional currency: JPY). If the JPY depreciates against the USD, how is the translation adjustment reported?

Select one:

- ☐ a. In profit or loss.
- ☐ b. Disclosed only in the notes.
- ☐ c. As a separate component of equity.
- ☐ d. As a liability on the balance sheet.

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Question 20

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Genetu Company expects to manufacture and sell 50,000 baskets in 2011 for Br. 5 each. There are 4,000 baskets in beginning finished goods inventory with target ending inventory of 4,000 baskets. The company keeps no work-in-process inventory. What amount of sales revenue will be reported on the 2011 budgeted income statement?

Select one:

- ☐ a. Br. 246,000
- ☐ b. Br. 254,000
- ☐ c. Br. 258,000
- ☐ d. Br. 250,000

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Question 21

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A project with a 50,000 initial outlay generates cash inflows of 20,000/year for 4 years. If the discount rate is 10%, what is the NPV?

Select one:

- ☐ a. 13,397
- ☐ b. 15,000
- ☐ c. 20,000
- ☐ d. 18,000

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Question 18

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If a branch remits cash to the home office, what is the journal entry on the branch's books?

Select one:

- ☐ a. Debit: Cash; Credit: Home Office
- ☐ b. Debit: Home Office; Credit: Cash
- ☐ c. Debit: Investment in Branch; Credit: Cash
- ☐ d. Debit: Cash; Credit: Investment in Branch

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**Question 24**Not yet
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What is the primary
concept behind the
Time Value of
Money?

Select one:

- ☐ a. Money has more value in the future than in the present.
- ☐ b. Money's value remains constant over time.
- ☐ c. All of the above
- ☐ d. Money has more value in the present than in the future.

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**Question 22**Not yet
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Which of the following inventory costing methods is prohibited under IFRS?

Select one:

- ☐ a. Specific identification
- ☐ b. FIFO
- ☐ c. Weighted average
- ☐ d. LIFO

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Question 23

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Which of the following is wrong regarding the classical theory of interest rates?

Select one:

- ☐ a. A demand for money has risen from only business sectors.
- ☐ b. Interest rate and money supply have a positive relationship.
- ☐ c. Interest rates are the premium for inducing people to save.
- ☐ d. Interest rate and demand for money have a positive relationship.

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Question 26

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What is the effect of
revenue earned but
not yet received in
cash?

Select one:

- ☐ a. Decrease
Assets and
increase
Liabilities
- ☐ b. Increase
Assets and
Increase Equity
- ☐ c. Increase
Liabilities and
increase Assets
- ☐ d. Decrease
Liabilities and
Increase Equity

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**Question 25**

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Permanent
differences between
taxable and
accounting income:

Select one:

- ☐ a. Give rise to deferred tax assets and liabilities.
- ☐ b. Affect the effective tax rate.
- ☐ c. Reverse in future periods.
- ☐ d. Are always immaterial.

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Question 28

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Which of the following is an example of a temporary difference that would create a deferred tax asset?

Select one:

- ☐ a. Warranty expense recognized for financial reporting purposes before it is deductible for tax purposes.
- ☐ b. Dividends received deduction.
- ☐ c. Fines and penalties that are not tax deductible.
- ☐ d. Life insurance proceeds received that are not taxable.

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Question 28

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Which of the following is an example of a temporary difference that would create a deferred tax asset?

Select one:

- ☐ a. Warranty expense recognized for financial reporting purposes before it is deductible for tax purposes.
- ☐ b. Dividends received deduction.
- ☐ c. Fines and penalties that are not tax deductible.
- ☐ d. Life insurance proceeds received that are not taxable.

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Question 27

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When testing for impairment under IAS 36, an asset group is considered impaired if its recoverable amount is:

Select one:

- ☐ a. Not determinable
- ☐ b. Equal to its fair value
- ☐ c. Less than its carrying amount
- ☐ d. Greater than its recoverable amount

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Question 32

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Which of the
following is true
about Fund?

Select one:

- ☐ a. A separate legal entity.
- ☐ b. A separate self-balancing set of accounts for inventory purposes.
- ☐ c. A separate fiscal and accounting entity.
- ☐ d. None of the above.

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**Question 29**

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A company estimates that it will incur \$5,000 in inventory losses for the current period. The Allowance account for inventory loss currently has a balance of \$2,000. How much should the company adjust the Allowance account by to reflect the estimated inventory loss for the current period?

Select one:

- ☐ a. \$3,000
☐ b. \$5,000
☐ c. \$2,000
☐ d. \$7,000

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**Question 34**

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The following information provided for ZM Co. Net loss during the operating period was \$132,000, account payable increased by \$10,000, inventory decreased by \$15,000, and account receivable increased by \$18,000. Hint: Income statement prepared under accrual basis of accounting calculate cash of operating activity?

Select one:

- ☐ a. The net cash used by operating activity was \$132,000.
- ☐ b. The net cash provided by the operating activity was \$132,000.
- ☐ c. The net cash provided by operating activity was \$125,000.
- ☐ d. The net cash used by operating activity was \$125,000.

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Question 31

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A company exchanges an old machine (carrying amount: \$50,000, fair value: \$70,000) for a new machine (fair value: \$75,000) and pays \$5,000 in cash. If the transaction has commercial substance, at what amount should the new machine be recorded?

Select one:

- ☐ a. \$55,000
- ☐ b. \$75,000
- ☐ c. \$70,000
- ☐ d. \$50,000

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Question 36

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Which one of the
following is wrong
about intangible
assets?

Select one:

- ☐ a. They are identifiable
- ☐ b. They are not monetary assets
- ☐ c. They are financial instruments
- ☐ d. They lack physical existence

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Question 33

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The term "sufficient
appropriate audit
evidence" refers to
evidence that is:

Select one:

- ☐ a. Used only for
internal control
testing
- ☐ b. Approved by
management
- ☐ c. Only externally
generated
- ☐ d. Enough in
quantity and high
in quality

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**Question 27**

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When testing for impairment under IAS 36, an asset group is considered impaired if its recoverable amount is:

Select one:

- ☐ a. Not determinable
- ☐ b. Equal to its fair value
- ☐ c. Less than its carrying amount
- ☐ d. Greater than its recoverable amount

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Question 30

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According to the Federal Income Tax Proclamation No. 979/2016, what percentage is allowed as a deduction for computing rental income tax for taxpayers who do not maintain book accounts?

Select one:

- ☐ a. 30 percent
- ☐ b. 50 percent
- ☐ c. 35 percent
- ☐ d. 45 percent

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What distinguishes an audit from other types of assurance engagements?

Select one:

- ☐ a. Audits are always performed by internal auditors
- ☐ b. Only audits require professional judgment
- ☐ c. Only audits involve financial data
- ☐ d. Audits provide a high (reasonable) level of assurance

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Question 37

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A financial institution that raises funds by issuing shares to the public and invests the proceeds in a diversified portfolio for a management fee is:

Select one:

- ☐ a. Banks
- ☐ b. Finance companies
- ☐ c. Pension Funds
- ☐ d. Mutual Funds

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**Question 39**

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A company paid \$12,000 for a 2-year insurance policy on January 1, 2018. What is the adjusting entry on December 31, 2018?

Select one:

- ☐ a. Debited prepaid insurance of \$12,000 and credited insurance expense of \$12,000
- ☐ b. Debited prepaid insurance of \$6,000 and credited insurance expense of \$6,000
- ☐ c. Debited insurance expense of \$6,000 and credited prepaid insurance of \$6,000
- ☐ d. Debited insurance expense of \$12,000 and credited prepaid insurance of \$12,000

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Question 40

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Consolidated financial statements are typically prepared when one entity has a controlling financial interest in another unless

Select one:

- ☐ a. The subsidiary is a finance entity.
- ☐ b. Control does not rest with the majority owner(s).
- ☐ c. The two entities are in unrelated industries, such as manufacturing and real estate.
- ☐ d. The fiscal year-ends of the two entities are more than 3 months apart.

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Question 43

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On January 1, 2012, Planet Corporation, a U.S. company, acquired 100% of Star Corporation of Bulgaria, paying an excess of 90,000 Bulgarian Lev over the book value of Star's net assets. The excess was allocated to undervalued equipment with a three-year remaining useful life. Star's functional currency is the Bulgarian Lev. Star's books are maintained in the functional currency. Exchange rates for Bulgarian Lev for 2012 are: January 1, 2012 \$.77; Average rate .75; December 31, 2012 .7. What is the depreciation expense stated in U.S. dollars on the excess allocated to equipment for 2012?

Select one:

- ☐ a. \$23,100
- ☐ b. 30,000
- ☐ c. \$22,500
- ☐ d. \$21,00

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Question 44

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A customer's
payment is recorded
but not deposited in
the bank. What
control weakness
does this represent?

Select one:

- ☐ a. Excessive credit approval
- ☐ b. Failure in the shipping process
- ☐ c. Poor inventory tracking
- ☐ d. Lack of segregation of duties

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Question 46

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Which of the following is an example of a substantive test in the acquisition and warehousing cycle?

Select one:

- ☐ a. Inspection of receiving reports for completeness
- ☐ b. Reperformance of a purchase order approval process
- ☐ c. Analytical review of inventory turnover ratios
- ☐ d. Review of control procedures over access to inventory systems

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Question 38

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Under IFRS 3, a
business
combination is
accounted for using:

Select one:

- ☐ a. Pooling of interests method.
- ☐ b. Purchase method.
- ☐ c. Acquisition method.
- ☐ d. Merger method.

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Assume the manufacturer purchases raw materials for ETB 2,000. After processing the raw materials, the manufacturer sells the product to the wholesaler for ETB 4,000. How much is the manufacturer's VAT liability?

Select one:

- ☐ a. 400
- ☐ b. 300
- ☐ c. 500
- ☐ d. 600

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Question 41

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Which of the following funds is a governmental fund?

Select one:

- ☐ a. Agency fund.
- ☐ b. Debt service fund.
- ☐ c. Internal service fund.
- ☐ d. Enterprise fund.

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Question 48

Not yet
answered

Marked out of
1.00

Flag
question

What is the correct
adjustment when
the company
records a \$1,500
check payment as
\$150 during bank
reconciliation?

Select one:

- ☐ a. Added \$1,350
to the company
balance
- ☐ b. Added \$1,350
to the bank
balance
- ☐ c. Deducted
\$1,350 from the
bank balance
- ☐ d. Deducted
\$1,350 from the
company balance

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**Question 51**

Not yet answered

Marked out of 1.00

Flag question

An entity grants share options to employees with a vesting period of three years. The employees must remain employed for the entire three-year period to vest. This is an example of a:

Select one:

- ☐ a. Performance condition.
- ☐ b. Non-vesting condition.
- ☐ c. Market condition.
- ☐ d. Service condition.

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Question 45

Not yet
answered

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Flag
question

Company A and Company B form a joint venture, Company C. Company A contributes equipment with a fair value of \$100,000 and a carrying amount of \$70,000. Company B contributes cash of \$100,000. Under the equity method, what amount should Company A recognize as a gain on the contribution?

Select one:

- ☐ a. \$35,000
- ☐ b. \$30,000
- ☐ c. \$15,000
- ☐ d. \$0

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Question 47

Not yet
answered

Marked out of
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Flag
question

Which of the
following are limited
life intangible
assets?

Select one:

- ☐ a. Patent
- ☐ b. Perpetual
franchise rights
- ☐ c. Trademark
- ☐ d. Goodwill

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Question 49Not yet
answeredMarked out of
1.00Flag
question

In testing accounts
receivable, auditors
often perform which
substantive
procedure?

Select one:

- ☐ a. Perform a walkthrough of payroll transactions
- ☐ b. Recalculate depreciation
- ☐ c. Observe inventory counting
- ☐ d. Confirm balances directly with customers

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Question 50

Not yet answered

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Flag question

The most important service performed by financial intermediaries is:

Select one:

- ☐ a. Brokerage service
- ☐ b. Securities underwriting
- ☐ c. Securities trading in the Secondary market
- ☐ d. Transforming financial assets

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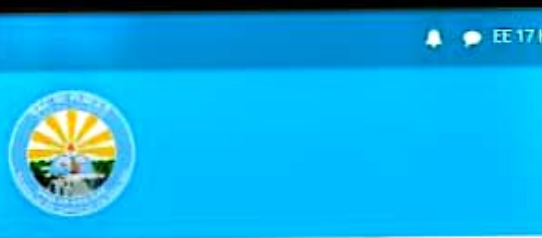


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Question 54

Not yet
answered
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question

A company purchased a machine on September 1, 2022, for \$90,000. The machine has a 5-year useful life and a residual value of \$10,000. If the company uses a decline balance method, what is the depreciation expense for the year 2023?

Select one:

- ☐ a. 17,777.78
☐ b. 31,200
☐ c. 8,888.89
☐ d. 12,000

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Question 52

Retained earnings
Bank overdrafts
Issuing bonds
Common stock issuance

Question

Which is a source of short-term financing for current assets?

Select one:

- ☐ a. Retained earnings.
- ☐ b. Bank overdrafts.
- ☐ c. Issuing bonds.
- ☐ d. Common stock issuance.

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Question 53

Not yet
answered

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🚩 Flag
question

Which of the
following best
describes Equity?

Select one:

- ☐ a. The revenue generated from sales
- ☐ b. The total debts owed by the business
- ☐ c. The total cash available in the business
- ☐ d. Residual interest in assets after deducting liabilities

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Question 54

Not yet answered

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Flag question

A company purchased a machine on September 1, 2022, for \$90,000. The machine has a 5-year useful life and a residual value of \$10,000. If the company uses a decline balance method, what is the depreciation expense for the year 2023?

Select one:

- ☐ a. 17,777.78
- ☐ b. 31,200
- ☐ c. 8,888.89
- ☐ d. 12,000

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Question 55

Not yet
answered

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🚩 Flag
question

Regulation helps the
investor, except?

Select one:

- ☐ a. To prevent market failures due to symmetric information.
- ☐ b. Avoid market failures due to asymmetric information.
- ☐ c. Solve the moral hazard problem
- ☐ d. Limit opportunities for agents to act against the interests of their shareholders.

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Question 55

Not yet
answered

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Flag
question

Regulation helps the
investor, except?

Select one:

- ☐ a. To prevent market failures due to symmetric information.
- ☐ b. Avoid market failures due to asymmetric information.
- ☐ c. Solve the moral hazard problem
- ☐ d. Limit opportunities for agents to act against the interests of their shareholders.

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56

it of

Tenet Garment manufactures suits. Material is introduced at the beginning of the process in the Cutting Department. Conversion costs are incurred (and allocated uniformly) throughout the process. As the ending of material is completed, the costs are accumulated transferred to the Sewing Department. Data for the Cutting Department for the month of February 2022 follow:

Physical Units

Work-in-process, January 31	50,000 units
(10% complete for direct materials, 40% completed for conversion costs)	
Units started during February, completed during February	222,000 Units
Work-in-process, February 28	73,000
(30% complete for direct materials, 20% completed for conversion costs)	

Costs

Actual costs of direct materials of beginning WIP	Br. 78,500
Actual costs of conversion of beginning WIP	Br. 14,010
Direct materials added during February (actual costs)	Br. 242,000
Conversion costs added during February (actual costs)	Br. 51,900

Assuming Tetent Garment uses the weighted average method to account for conversion, the assignment of costs to work-in-process at the end of February is

Select one:

- ☐ A. Br. 300,000.
- ☐ B. Br. 266,250.
- ☐ C. Br. 166,525.
- ☐ D. Br. 139,500.

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**Question 57**

Not yet
answered

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Flag
question

Bahir Dar Stadium is a City-owned stadium that collects fees in amounts sufficient to cover its expenses. Bahir Dar Stadium should be accounted for in which of the following funds?

Select one:

- ☐ a. General fund.
- ☐ b. Special revenue fund.
- ☐ c. Internal service fund.
- ☐ d. Enterprise fund.

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**Question 61**

Not yet answered

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Flag question

The primary goal of financial management is to:

Select one:

- ☐ a. Increase market share.
- ☐ b. Minimize tax liabilities.
- ☐ c. Maximize shareholder wealth.
- ☐ d. Stabilize employment levels.

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Question 60

Not yet
answered

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🚩 Flag
question

According to
Modigliani and
Miller Proposition I
(without taxes), the
value of a firm is:

Select one:

- ☐ a. Dependent on dividend policy.
- ☐ b. Minimized when equity financing is used.
- ☐ c. Maximized when debt is 50% of capital structure.
- ☐ d. Unaffected by its capital structure.

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Question 58

Not yet
answered
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Flag
question

Which theory of term structure of interest rate explains that the yields on long-term bonds tend to be higher than short-term bonds?

Select one:

- ☐ a. Liquidity premium theory
- ☐ b. Liquidity preference theory
- ☐ c. Preferred habitat theory
- ☐ d. Market segmentation theory

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Tiger Garments manufactures Suits. Material is introduced at the beginning of the process in the Cutting Department. Conversion costs are incurred (and allocated) uniformly throughout the process. As the cutting of material is completed, the pieces are immediately transferred to the Sewing Department. Data for the Cutting Department for the month of February 2022 follow:

Physical Units

Work-in-process, January 31— (100 % complete for direct materials, 40% completed for conversion costs)	50,000 units	
Units started during February, completed during February	200,000	225,000 Units
Work-in-process, February 28 (100 % complete for direct materials, 20 % completed for conversion costs)	75,000	

Costs

Actual costs of direct materials of beginning WIP	Br. 70,500
Actual costs of conversion of beginning WIP	Br. 34,050
Direct materials added during February (actual costs)	Br. 342,000
Conversion costs added during February (actual costs)	Br. 52,950

Assuming Tiger Garments uses the weighted-average method to account for inventories, the assignment of costs to work in process at the end of February is

Select one:

- ☐ A. Br. 300,000.
- ☐ B. Br. 266,250.
- ☐ C. Br. 166,525.
- ☐ D. Br. 139,500.



Question 59

Answer saved

Marked out of 1.00

Flag question

What is the appropriate accounting treatment for costs incurred to maintain biological assets, such as feeding and veterinary care for livestock?

Select one:

- ☒ a. Capitalize them as part of the cost of the biological asset.
- ☐ b. Amortize them over the life of the biological asset.
- ☐ c. Expense them as incurred.
- ☐ d. Recognize them as other comprehensive income (OCI).

[Clear my choice](#)

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Question 62Not yet
answeredMarked out of
1.00Flag
question

Which of the
following best
defines "investment
property" under IAS
40?

Select one:

- ☐ a. Property occupied by the entity's employees
- ☐ b. Property under construction for future use as inventory.
- ☐ c. Property is held for capital appreciation or rental income.
- ☐ d. Property used in the production or supply of goods.

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Question 62

Not yet
answered

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Flag
question

Which of the
following best
defines "investment
property" under IAS
40?

Select one:

- ☐ a. Property occupied by the entity's employees.
- ☒ b. Property under construction for future use as inventory.
- ☐ c. Property is held for capital appreciation or rental income.
- ☐ d. Property used in the production or supply of goods.

[Clear my choice](#)

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Question 65

Not yet
answered

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Flag
question

A package of two or more products or services that is sold for a single price, but whose individual components may be sold as separate items at their own stand-alone prices is?

Select one:

- ☐ a. Bundled product
- ☐ b. Joint product
- ☐ c. Incremental product
- ☐ d. Stand-alone product

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Question 61

Not yet answered

Marked out of 1.00

Flag question

The primary goal of financial management is to

Select one:

- ☐ a. Increase market share
- ☐ b. Minimize tax liabilities
- ☐ c. Maximize shareholder wealth.
- ☐ d. Stabilize employment levels.

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Question 70

Not yet
answered

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Flag
question

A joint venture distributes dividends of \$20,000. A venturer owns 30% of the joint venture. Under the equity method, what is the impact of the dividend on the venturer's investment account?

Select one:

- ☐ a. Increases the investment account by \$6,000
- ☐ b. No impact on the investment account
- ☐ c. Increases the investment account by \$20,000
- ☐ d. Decreases the investment account by \$6,000

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Question 66

Not yet
answered

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🚩 Flag
question

What is the purpose
of understanding
the client's internal
control system
during planning?

Select one:

- ☐ a. To determine if
the client is
legally compliant
- ☐ b. To prepare
financial
statements
- ☐ c. To assess
control risk and
design audit
procedures
- ☐ d. To provide
assurance on the
internal control
system

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Which of the following ratios would BEST assess a firm's short-term liquidity risk?

Select one:

- ☐ a. Return on assets.
- ☐ b. Debt-to-equity ratio.
- ☐ c. Gross profit margin.
- ☐ d. Current ratio.

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**Question 68**

Not yet answered

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Flag question

What is the adjusting entry if the credit sales are \$200,000, and 3% are estimated uncollectible?

Select one:

- ☐ a. Debit Allowance for Doubtful Accounts 6,000; Credit Bad Debt Expense 6,000; Credit Bad Debt Expense 6,000
- ☐ b. Debit Bad Debt Expense 6,000; Credit Allowance for Doubtful Accounts 6,000; Credit Allowance for Doubtful Accounts 6,000
- ☐ c. Debit Bad Debt Expense 6,000; Credit Accounts Receivable 6,000; Credit Accounts Receivable 6,000
- ☐ d. Debit Allowance for Doubtful Accounts 6,000; Credit Accounts Receivable 6,000; Credit Accounts Receivable 6,000

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Question 67

Not yet
answered

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Flag
question

If a share-based payment arrangement gives either the entity or the employee a choice of settlement (either cash or shares), how should the entity account for it?

Select one:

- ☐ a. Always account for it as a cash-settled transaction.
- ☐ b. Account for it based on whichever settlement option is most likely to be chosen.
- ☐ c. Account for it as a compound financial instrument, separating the equity and liability components.
- ☐ d. Always account for it as an equity-settled transaction.

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Question 70

Not yet
answered

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question

A joint venture distributes dividends of \$20,000. A venturer owns 30% of the joint venture. Under the equity method, what is the impact of the dividend on the venturer's investment account?

Select one:

- ☐ a. Increases the investment account by \$6,000
- ☐ b. No impact on the investment account
- ☐ c. Increases the investment account by \$20,000
- ☐ d. Decreases the investment account by \$6,000

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Question 69

Not yet
answered

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Flag
question

Suppose that the equipment has a cost of \$9,000,000 and accumulated depreciation of \$1,000,000. The value in use and fair value less cost of disposal is \$7,000,000 and \$4,400,000, respectively. If the company continues to use this asset in the future, as of December 31, 2022, the equipment has a remaining useful life of 4 years. How much was the loss on impairment of equipment?

Select one:

- ☐ a. \$1,600,000
- ☐ b. \$2,000,000
- ☐ c. \$3,600,000
- ☐ d. \$1,000,000

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Question 71

Not yet answered

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Flag question

Which of the following statements is more representative of activity-based costing in comparison to a department costing system?

Select one:

- ☐ a. The use of multiple cost-allocation bases
- ☐ b. The use of indirect-cost rates for significant resource use
- ☐ c. The use of multiple cost pools
- ☐ d. The use of activities having a cause-and-effect relationship

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Question 72

Not yet
answered

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Flag
question

Which theory
suggests that
dividend policy is
irrelevant to firm
value?

Select one:

- ☐ a. Tax preference theory.
- ☐ b. Bird-in-the-hand theory.
- ☐ c. Modigliani-Miller irrelevance theory.
- ☐ d. Signaling theory.

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Question 73

Not yet answered

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Flag question

Which of the following distinguishes governments from nongovernmental not-for-profit organizations?

Select one:

- ☐ a. The power to enact and enforce a tax levy.
- ☐ b. Presence of profit motive.
- ☐ c. Absence of a defined ownership interest that can be sold, transferred, or redeemed.
- ☐ d. Resource providers do not expect benefits proportional to the resources provided.

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**Question 75**

Not yet
answered

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Flag
question

Which of the
following is the
disadvantage of a
corporation?

Select one:

- ☐ a. Unlimited life
- ☐ b. Limited liability
- ☐ c. High capital
- ☐ d. Double
taxation

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Question 76

Not yet
answered

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Flag
question

P Co. paid 50,000 in fees to its accountants and lawyers in acquiring S Company. P will treat the 50,000 as:

Select one:

- ☐ a. Additional cost to investment of Slope on the consolidated balance sheet.
- ☐ b. A prior period adjustment to retained earnings.
- ☐ c. a reduction in additional paid in capital.
- ☐ d. An expense for the current year.

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**Question 78**

Not yet
answered

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question

A company buys land for \$600,000. It pays \$15,000 in real estate commissions, \$10,000 in legal fees, and \$25,000 to clear the land. The company also spends \$30,000 to install sidewalks and streetlights. What is the capitalized cost of the land?

Select one:

- ☐ a. \$625,000
- ☐ b. \$675,000
- ☐ c. \$680,000
- ☐ d. \$650,000

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Question 74

Not yet answered

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Flag question

If a firm's operating leverage is high, a 10% increase in sales will likely result in:

Select one:

- ☐ a. A decrease in fixed costs.
- ☐ b. A decline in variable costs.
- ☐ c. A proportionally higher increase in EBIT.
- ☐ d. No change in net income.

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**Question 77**

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For a cash-settled share-based payment, the liability is:

Select one:

- ☐ a. Amortized over the vesting period.
- ☐ b. Remeasured at each reporting date until settlement, reflecting changes in the fair value of the shares.
- ☐ c. Fixed at the grant date.
- ☐ d. Only recognized when the options are exercised.



Question 79

Not yet
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Which of the following best describes the purpose of audit sampling in substantive tests?

Select one:

- ☐ a. To assess fraud risk factors.
- ☐ b. To evaluate the operating effectiveness of controls.
- ☐ c. To detect material misstatements in account balances or transactions.
- ☐ d. To verify compliance with internal policies.

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Question 90

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Company A and Company B form a joint venture, Company C. Company A contributes equipment with a fair value of \$100,000 and a carrying amount of \$70,000. Company B contributes cash of \$100,000. if Company A and Company B are equal venturers, what is the initial carrying amount of Company A's investment in Company C under the equity method?

Select one:

- ☐ a. \$100,000
- ☐ b. \$130,000
- ☐ c. \$70,000
- ☐ d. \$85,000

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Question 93Not yet
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Assume W/ro Betsolet K is an employee of a profit-oriented business earning a basic monthly salary of ETB 4,500.

Additionally, she receives an allowance of ETB 1,000. She has worked a total of 12 hours of overtime, staying at the office until 10.00 pm. Note that the management of the agency typically expects an employee to work 40 hours per week, and overtime payment is compensated according to the revised labor proclamation of Ethiopia. How much are W/ro Betsolet's gross earnings and net payment, respectively?

Select one:

- ☐ a. ETB7,226.82 and ETB4,994.32
- ☐ b. ETB 6,778.82 and ETB4,669.32
- ☐ c. ETB5,883.52 and ETB4,567.32
- ☐ d. ETB5,921.875 and ETB4,691.41

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Question 95

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question

Which of the following is NOT a component of the cost of capital?

Select one:

- ☐ a. Cost of retained earnings.
- ☐ b. Cost of debt.
- ☐ c. Cost of accounts payable.
- ☐ d. Cost of preferred stock.

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Question 96

Not yet
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Yared Company had the following balances in their accounts at the end of the accounting period: Work-In-Process, Br. 5,000; Finished Goods, Br. 20,000; Cost of Goods Sold, Br. 200,000. If their manufacturing overhead was over-allocated by Br. 8,000 and Yared company adjusts their accounts using a proration based on total ending balances, the revised ending balance for Cost of Goods Sold would be:

Select one:

- ☐ a. Br. 200,00.
- ☐ b. Br. 207,120.
- ☐ c. Br. 208,000.
- ☐ d. Br. 192,880.

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Question 98
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Flag question

A city collects property taxes for the local sanitary, park, and school districts and periodically remits collections to these units. Should this activity be accounted for in which fund?

- Select one:
- ☐ a. Special fund
 - ☐ b. Agency fund
 - ☐ c. Trust fund
 - ☐ d. General fund

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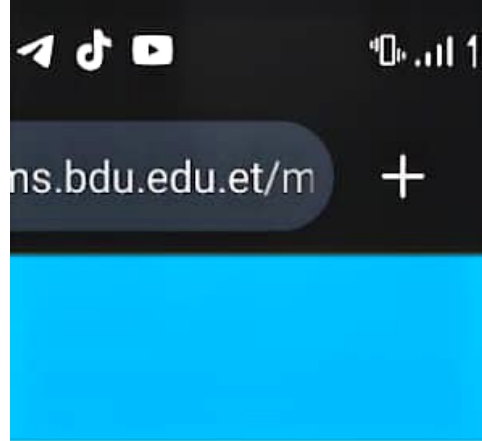
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A city collects property taxes for the local sanitary, park, and school districts and periodically remits collections to these units. Should this activity be accounted for in which fund?

Select one:

- ☐ a. Special fund
- ☐ b. Agency fund
- ☐ c. Trust fund
- ☐ d. General fund

**Question 94**Not yet
answeredMarked out of
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Assume the budgeted selling price per unit, variable cost, fixed cost, and output were Br 25, Br10, Br500, and 10,000 units respectively. Whereas the actual selling price per unit, variable cost, fixed cost, and output were Br 20, Br 15, Br 15, Br 4,000, and 15,000 units respectively. Flexible budget variance for operating income is:

Select one:

- ☐ A. Br 74,000
Favorable
- ☐ B. Br 25,000
Unfavorable
- ☐ C. Br 75,000
Unfavorable
- ☐ D. Br 149,000
Unfavorable

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Question 92

Not yet
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question

Which of the following transactions would decrease the balance of the "Investment in Branch" account on the home office's books?

Select one:

- ☐ a. The home office pays expenses on behalf of the branch.
- ☐ b. The branch purchases equipment from an outside vendor.
- ☐ c. The branch incurs a net loss.
- ☐ d. The branch sends cash to the home office.

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Question 97

Not yet answered

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Which of the following is not characteristic of taxation?

Select one:

- ☐ a. Direct benefit
- ☐ b. Compulsory nature
- ☐ c. Imposed by government
- ☐ d. Neutral obligation

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Question 80

Not yet
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question

Which of the following accounts is not used by a merchandise company that employs a perpetual inventory system?

Select one:

- ☐ a. Cost of goods sold
- ☐ b. Purchase return and allowance
- ☐ c. Sales return and allowance
- ☐ d. Merchandise inventory

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**Question 81**

Not yet
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The evolution of
auditing from fraud
detection to
assurance services
is largely due to:

Select one:

- ☐ a. Advances in technology
- ☐ b. Increase in audit fees
- ☐ c. Greater complexity in business and financial reporting
- ☐ d. Shift to tax-based economies

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Question 86

Not yet
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The Premium
Allocation Approach
(PAA) can be used
for insurance
contracts when:

Select one:

- ☐ a. The coverage period is less than one year.
- ☐ b. The result is not materially different from the General Measurement Model (GMM).
- ☐ c. The contracts have significant investment components.
- ☐ d. The contracts are short duration and have a variable fee.

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Which of the following groups is considered a primary user of a state or local government's general-purpose external financial statements?

Select one:

- ☐ a. Managers and administrators.
- ☐ b. Employees.
- ☐ c. Citizens.
- ☐ d. Special interest groups.

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Question 87

Not yet
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The management of Amhara pipe factory desires cost information regarding its 1-inch plastic pipe brand. The 1-inch plastic pipe brand is:

Select one:

- ☐ a. Cost object.
- ☐ b. Cost assignment.
- ☐ c. Cost driver.
- ☐ d. Actual cost.

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Question 88

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Which of the
following
disclosures is NOT
required by IAS 41?

Select one:

- ☐ a. The carrying amount of biological assets pledged as security for liabilities.
- ☐ b. A description of the biological assets.
- ☐ c. The names and addresses of the company's major customers.
- ☐ d. The methods and assumptions used to determine fair value.

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Question 85

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The activities of a municipal employees' retirement and pension system should be recorded in which fund?

Select one:

- ☐ a. General fund
- ☐ b. Agency fund
- ☐ c. Trust fund
- ☐ d. Special fund

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**Question 84**

Not yet
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Which one of the
following approved
the Ethiopian federal
budget?

Select one:

- ☐ a. The Ministry of
Finance
- ☐ b. The National
Planning
Commission
- ☐ c. The Prime
Minister
- ☐ d. The House of
Peoples'
Representative

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Question 91

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When analysing receivables under IFRS 9, which of the following would MOST LIKELY generate an impairment loss?

Select one:

- ☐ a. A temporary cash flow shortage for the debtor.
- ☐ b. A change in macroeconomic conditions with no impact on the debtor.
- ☐ c. A significant increase in credit risk since initial recognition.
- ☐ d. A customer delaying payment by 10 days.

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Question 89

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One of the following
is wrong about the
role of the financial
system.

Select one:

- ☐ a. facilitates trade and investment by extending credit
- ☐ b. provides a payment mechanism for goods and services without using the barter system.
- ☐ c. Facilitate the flow of funds from saver to investor.
- ☐ d. Facilitate the flow of funds from deficit to surplus units.

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